

S E R V E D

November 30, 2017

FEDERAL MARITIME COMMISSION

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DOCKET NO. 17-07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

ORDER DENYING COMPLAINANT'S MOTION TO COMPEL

On November 14, 2017, Complainant Port Elizabeth Terminal & Warehouse ("PETW") filed a motion to compel discovery from Respondent The Port Authority of New York and New Jersey ("Port Authority"). On November 20, 2017, PETW filed a supplement to its motion to compel. On November 21, 2017, the Port Authority filed an opposition brief. On November 24, 2017, PETW filed a reply brief. On November 27, 2017, the Port Authority filed a sur-reply brief.

According to the initial order issued in this proceeding on July 26, 2017:

11. A motion to compel must set forth verbatim the interrogatory or request, the response that the moving party argues is insufficient, a summary of the moving party's attempts to secure a sufficient response, and the moving party's argument on why the response is insufficient. The moving party must provide an electronic copy in a word processing format of the motion to compel with the hard copy of the motion.

The non-moving party must use the electronic copy of the motion to compel and add any counter-summary of the attempts to secure a sufficient response, then its argument on why the response is sufficient, below the moving party's summary and argument for each response claimed to be insufficient. The non-moving party must provide to the moving party and to the Presiding Officer an electronic copy in a word processing format of the motion to compel to which it has added its counter-summaries and arguments.

12. A party withholding documents because of an asserted privilege must serve a privilege log that complies with the requirements of Federal Rule of Civil Procedure 26(b)(5)(A).

Initial Order at 3. In addition, the initial order requires that any “request for action by the Commission or Presiding Officer must be made by motion, not by letter or email request.” Initial Order at 3.

Commission Rule 71 provides the procedure for filing non-dispositive motions, imposing a duty to confer and prohibiting replies unless requested by the presiding officer or upon a showing of extraordinary circumstances. 46 C.F.R. § 502.71.

Complainant seeks “[i]nformation documents including correspondence and e-mails withheld by PANYNJ as identified in deficiency letters attached to Certificate of Counsel as Exhibits C and D” and a “privilege log pursuant to Rule 26 of the Federal Rules of Civil Procedure for all documents and information withheld by the PANYNJ on the grounds of privilege.” Motion at 1. PETW argues that discovery provisions are to be applied broadly and liberally; PETW is entitled to a privilege log; and PETW is entitled to information and records withheld by the Port Authority as well as a privilege log of documents withheld. Motion at 2-4.

The supplement to the motion is essentially a cover page with a letter attached in which PETW acknowledges receiving additional discovery including a privilege log from the Port Authority after submitting its motion but asserts that deficiencies remain and the issues raised in the motion to compel are “essentially unresolved.” Letter attached to Supplement to Motion at 2.

The Port Authority asserts that the motion to compel should be denied on the ground that it is moot because PETW’s attorneys received the Port Authority’s responses to the claimed deficiencies, additional non-privileged documents, and the privilege log before the motion was filed; PETW has not met its burden of showing that the documents sought are relevant to the present matter; and the documents listed in the privilege log are protected by the deliberative process privilege, the attorney-client privilege, and/or the attorney work-product doctrine. Opposition at 3-10. The Port Authority also objects to the supplement to the motion and requests in-camera inspection of documents if necessary. Motion at 4, 10.

PETW filed a reply brief, but did not make a showing of extraordinary circumstances. PETW again argues that the scope of discovery in Shipping Act matters is broad and the party resisting discovery has the burden of justifying its objections. Reply at 5-8. The Port Authority filed a sur-reply brief arguing that Commission rules preclude PETW from filing a reply brief and that PETW misrepresents the Port Authority’s answers to PETW’s first set of interrogatories. Sur-reply at 1-3.

The Commission’s Rules describe the scope of discovery as follows:

Unless otherwise limited by the presiding officer, or as otherwise provided in this subpart, the scope of discovery is as follows: Parties may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense-including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter. For good cause, the presiding officer may order discovery of any matter relevant to the subject matter involved in the action. Relevant information need not be admissible at hearing if the discovery appears reasonably calculated to lead to the discovery of admissible evidence.

46 C.F.R. § 502.141(e)(1).

The Commission Rules allow the presiding officer to "limit the frequency or extent of discovery otherwise allowed by these rules." 46 C.F.R. § 502.141(e)(2). "The Commission or presiding officer may, for good cause, issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j)(1). "It is fundamental that the scope of discovery is not limitless and is restricted by the concepts of relevancy." *American President Lines, Ltd. v. Cyprus Mines Corp. and Cyprus Minerals Co.*, 26 S.R.R. 1227, 1234 (FMC 1994). In addition, pursuant to Commission Rules, "[a]fter making every reasonable effort to resolve discovery disputes, a party may request a conference or rulings from the presiding officer on such disputes." 46 C.F.R. § 502.141(i)(2).

Complainant's motion fails to meet the requirements of the initial order by failing to set forth the interrogatory or request, the response that the moving party argues is insufficient, a summary of the moving party's attempts to secure a sufficient response, and the moving party's argument on why the response is insufficient. Moreover, the motion was filed prior to "making every reasonable effort to resolve discovery disputes" as required by 46 C.F.R. § 502.141(i)(2).

Indeed, upon receiving additional discovery from the Port Authority, PETW filed a supplemental motion rather than work with the Port Authority to resolve any remaining discovery disputes. The additional discovery received likely impacted the arguments made in the motion as PETW admits that it received a privilege log. In addition, PETW refers to a "blank disc" which suggests that it may not have received all information from the Port Authority due to a technical issue. Supplement letter at 1. Moreover, the Port Authority represents that it provided supplemental answers which PETW failed to disclose. Sur-reply at 2-3. These are the types of issues that parties should be able to resolve between themselves prior to seeking assistance.

The parties have been instructed that "request for action by the Commission or Presiding Officer must be made by motion, not by letter or email request." Initial Order at 3. Nonetheless, the supplement to the motion to compel merely attaches a letter. The parties should not be submitting letters to the undersigned. Rather than delay the proceeding, however, the supplement to the motion, including the attached letter, will be considered for purposes of this motion. The supplement

arguably provides additional information not available at the time of filing the motion. In the future, however, this Office may reject anything submitted by letter.

Pursuant to Commission Rule 71, replies are not permitted for non-dispositive motions. 46 C.F.R. § 502.71. To expedite resolution of this proceeding, the reply and sur-reply will be permitted. In the future, however, replies to non-dispositive motions should not be submitted and all arguments should be fully made in the motion.

PETW cites to a 2010 decision for the proposition that the Commission's discovery rules are to be liberally construed. Reply at 6 (quoting *Maier Terminals LLS v. Port Authority of New York and New Jersey*, 2010 FMC Lexis 31, *13 (ALJ July 23, 2010)). That case pointed out that the Commissions' discovery rules had remained largely unchanged since 1984 while the Federal Rules had changed significantly over that time. *Maier Terminals*, 2010 FMC Lexis at *11 (noting that "Rule 201 was based on Civil Rule 26 as it existed in 1984.")

On September 28, 2012, the Commission issued revised rules of practice and procedure which sought to "modernize and more closely conform them to the current version of the [Federal Rules of Civil Procedure] and to encourage focused and expeditious use and completion of discovery." 77 Fed. Reg. 61519-61535 (FMC Docket 11-05). The 2012 revision of the Commission's Rules imposed limitations on discovery and required initial disclosures and disclosures of expert reports. Most relevant to this proceeding, the new rule revised the scope of discovery, currently found at 502.141(e)(1), to mirror the language found in FRCP 26(b)(1). Compare 46 C.F.R. § 502.141(e)(1) (previously § 502.201(e)) with FRCP 26(b)(1).

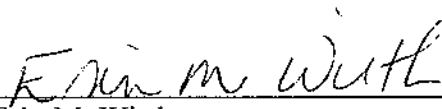
"A party seeking discovery bears the initial burden of demonstrating the requested discovery is relevant to its claim or defense." *Lakeview Pharmacy of Racine, Inc. v. Catamaran Corp.*, 2017 U.S. Dist. LEXIS 163624, at *12 (M.D. Pa. Sep. 28, 2017) (citations omitted); *Meijer, Inc. v. Warner Chilcott Holdings Co., III, Ltd.*, 245 F.R.D. 26, 30 (D.D.C. 2007) ("Once a relevancy objection has been raised, the party seeking discovery must demonstrate that the information sought to be compelled is discoverable."). While the requesting party bears the initial burden of demonstrating relevance, once that showing is made, the party resisting discovery bears the burden of demonstrating that the requests are irrelevant, or are overly broad, burdensome, or oppressive. *Royal Park Invs. SA/NV v. Deutsche Bank Nat'l Tr. Co.*, 2016 U.S. Dist. LEXIS 120131, at *5 (S.D.N.Y. Aug. 31, 2016) (citing *John Wiley & Sons*, 298 F.R.D. 184, 186 (D. Conn. 2010)); see also *McConnell v. Canadian Pac. Realty Co.*, 280 F.R.D. 188, 193 (M.D. Pa. 2011) (citing *In re Urethane Antitrust Litigation*, 261 F.R.D. 570, 573 (D. Kan. 2009)).

PETW has failed to file its motion in the proper format by failing to identify specific discovery requests it argues are insufficient; failed to show sufficient attempts to secure a response; and failed to make every reasonable effort to resolve its discovery disputes. In addition, PETW would need to demonstrate the relevance of its requests, particularly for confidential or competitively sensitive information of its competitors, other marine terminals. Accordingly, the motion is at best premature and possibly moot.

The parties will be required to meet and confer to discuss discovery disputes prior to filing any motions regarding discovery. Any party filing a discovery motion shall, to the extent possible, organize their arguments so that similar issues (for example, whether the deliberate process applies) are handled together. Arguments should be supported by legal analysis.

For the above-stated reasons, it is hereby

ORDERED that Complainant's motion to compel be **DENIED** without prejudice. Any discovery motions filed in this proceeding must conform with the guidance set out above.



Erin M. Wirth
Administrative Law Judge